



RESEARCH & INSIGHTS HUB

The Lending Landscape

Navigating the crypto borrowing and lending landscape, its impact on market structure, and its utility as a market signal.

[View report](#)

Borrowing and lending solutions are a core part of crypto's market structure and have also been one of the pillars of the onchain economy since the earliest days of decentralized finance (DeFi). Critically, DeFi lending protocols enable financing access in a programmatic and permissionless fashion with 24/7 uptime. As this sector has matured, the total value locked (TVL) in DeFi lending protocols reached an all time high of \$55B in December 2024.

Beyond financing utility, the transparency of onchain lending markets also makes them a useful indicator for market positioning, in our view. Borrowing demand – particularly in stablecoins – is proxied via variable interest rates, which often reflects demand for leverage. We find that stablecoin borrow rates correspond with other indicators of heated markets such as perpetual futures funding rates. The outsized use of certain assets, like ETH, as collateral may also impact their performance during volatile periods.

In our view, the onchain lending sector will continue to grow as the diversity of collateralizable onchain assets continues to increase. Onchain protocols are increasingly integrated into existing platform interfaces, such as BTC backed loans on Coinbase. Meanwhile, on the frontier of DeFi markets, we think that rates trading and managed vaults may be two drivers for future growth. That said, we also believe traditional financing solutions remain important for investors – particularly institutions – due to their more predictable rates, discretion, and different risk profiles.

For more details, see our [full report](#).

Coinbase Markets Call

Stay up to date on the latest crypto and macro news, insights, and market intelligence.

[Watch the latest markets call →](#)

Market Commentary

Read the latest institutional crypto research on everything from key themes to tokenomics.

[View our most recent report →](#)



COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Investing in cryptocurrency comes with risk. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services.



© Coinbase 2025 | Coinbase Custody International Limited
70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland
www.coinbase.com
[Get in touch](#)

[Unsubscribe](#) from future editions of this type of message.